

# HOUSE . . . . . No. 3993

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## The Commonwealth of Massachusetts

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PRESENTED BY:

***Kip A. Diggs***

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*To the Honorable Senate and House of Representatives of the Commonwealth of Massachusetts in General Court assembled:*

The undersigned legislators and/or citizens respectfully petition for the adoption of the accompanying bill:

An Act relative to promoting fair hiring practices by limiting the use of credit reports in employment decisions.

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PETITION OF:

| NAME:               | DISTRICT/ADDRESS:     | DATE ADDED:      |
|---------------------|-----------------------|------------------|
| <i>Kip A. Diggs</i> | <i>2nd Barnstable</i> | <i>1/16/2025</i> |

# HOUSE . . . . . No. 3993

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By Representative Diggs of Barnstable, a petition (accompanied by bill, House, No. 3993) of Kip A. Diggs relative to hiring practices. Labor and Workforce Development.

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## The Commonwealth of Massachusetts

\_\_\_\_\_  
In the One Hundred and Ninety-Fourth General Court  
(2025-2026)  
\_\_\_\_\_

An Act relative to promoting fair hiring practices by limiting the use of credit reports in employment decisions.

*Be it enacted by the Senate and House of Representatives in General Court assembled, and by the authority of the same, as follows:*

1           SECTION 1. Section 1 of chapter 151B of the General Laws is hereby amended by  
2   striking out, in line 14, the word “four”, as appearing in the 2022 Official Edition, and inserting  
3   in place thereof the following words:- 4 and section 11.

4           SECTION 2. Said chapter 151B is hereby further amended by adding the following  
5   section:-

6           Section 11. (a) Except as provided in subsection (b), it shall be an unlawful practice for  
7   an employer, directly or through an agent, to: (i) use an individual’s credit history as a factor in  
8   employment decisions, including hiring, firing, promotion, demotion or compensation; or (ii)  
9   request or obtain an individual’s credit report or inquire about their credit history for  
10   employment decisions.

11          (b) The prohibitions in subsection (a) shall not apply to: (i) positions requiring financial  
12   oversight, such as roles involving access to funds, accounting responsibilities or fiduciary duties;

(ii) employment in financial services or industries regulated by federal or state laws that mandate credit history checks; and (iii) positions involving access to classified or national security information.

(c) Employers relying on a credit report for employment pursuant to subsection (b) shall:

(i) notify the individual in writing of the specific reasons their credit history is being considered; (ii) provide the individual with a copy of the credit report and a statement of their rights under the federal Fair Credit Reporting Act, 15 U.S.C. §1681 et seq; and (iii) offer the individual an opportunity to dispute inaccuracies in their credit history before the employer making a final decision on hiring.

(d) Complaints of violations of this section shall be submitted to the commission.

(e) The commission, in collaboration with the executive office of labor and workforce development, shall launch a public awareness campaign to: (i) inform employers and job applicants of their rights and responsibilities under this section; (ii) promote equitable hiring practices in the commonwealth; and (iii) provide resources for individuals to address and improve their credit histories.

(f) The commission shall prepare an annual report that shall include: (i) complaints filed with the commission office pursuant to subsection (d) and the resolutions of the filed complaints; (ii) patterns of violations or areas requiring additional enforcement; and (iii) any recommendations for improving compliance and promoting workforce equity under this section.

The annual report shall be submitted, not later than December 31 of each year, to the chairs of the joint committee on labor and workforce development and the clerks of the house of representatives and senate. The first report shall be submitted no later than December 31, 2027.

35           SECTION 3. This act shall take effect on January 1, 2026 and shall apply to all  
36   employment decisions made on or after that date.